

One Goldman Sachs & The Outsourced CIO

The full report: what the strategy really is, whether asset management "loses money", what Goldman fundamentally has that J.P. Morgan doesn't — and the outsourcing model explained from absolute zero

Labels: **OFFICIAL** firm source · **CORROBORATED** multiple reputable sources · **ANECDOTAL** single source · **INFERRED** reasoning · **TRANSCRIPT** your own events · Compiled 16 Aug 2026

PART A — One Goldman Sachs: the complete anatomy

A1. What it literally is

"One Goldman Sachs" (internally "One GS") is a **named operating philosophy**, announced by David Solomon in his first weeks as CEO (late 2018): a commitment to *"delivering holistically the best of the firm's solutions and services to clients — from corporations, governments and institutions to individuals."* **OFFICIAL — GS's published firm history**

Strip the corporate language and it says something specific: **the client belongs to the firm, not to a division**. Before One GS, a company might be served by five Goldman teams who barely coordinated — a banker pitching a deal, a markets salesperson selling hedges, an asset-management rep pitching funds, each guarding "their" relationship. One GS inverts it: one coordinated view of each client, with every division's capability presented as a single offer.

A2. Why it was put in place — the problem it solved

- The internal problem: silos that competed.** You heard the first-hand testimony: Ahmed described the merchant bank and Special Situations Group as *"separate, sometimes competing pockets"* that were consolidated to *"stop having internal teams competing with each other and confusing the outside world."* **TRANSCRIPT** Multiply that across a 40,000-person firm: duplicated client calls, contradictory pitches, internal turf wars over credit for revenue.
- The client problem: buyers consolidated.** Big clients increasingly want fewer, deeper relationships — Nachmann's 2026 words: plan sponsors are *"consolidating responsibilities with one partner with the... depth of platform."* **OFFICIAL** A siloed seller cannot serve a consolidating buyer.
- The shareholder problem: the stock was cheap.** Investors valued Goldman below rivals partly because its earnings were volatile trading profits. The fix — grow durable fees (AWM) and squeeze more revenue per client (cross-sell) — both *require* divisions to act as one. One GS is the cultural enabler of the financial strategy. **INFERRED — widely argued in coverage; the mechanism is sound**

A3. The machinery — how it actually works day to day

Mechanism	How it operates
Structural reorganisation OFFICIAL	2022: the firm collapsed four divisions into three segments — merging investment banking and trading into one Global Banking & Markets , and merging asset management with wealth into AWM . Fewer walls, shared leadership, one P&L per mega-segment. 2025: Capital Solutions Group created inside GBM to join financing, origination and structuring across old boundaries.
Unified client coverage TRANSCRIPT + CORROBORATED	Ahmed's example is the cleanest: instead of multiple GS teams separately calling the same sovereign wealth fund, <i>"a centralised client group presents the whole alternatives shelf."</i> Cross-divisional client councils coordinate coverage of the biggest relationships. The AM Client Solutions Group is this mechanism, institutionalised.
Compensation & culture CORROBORATED	Pay and promotion increasingly reward firmwide outcomes and referrals ("delivering the firm" appears in GS's own job postings as a strategic objective), not just a desk's own P&L. Partners are expected to carry the whole shelf into their relationships.
Shared infrastructure INFERRED, standard banking	One research department serves all client types; one risk and funding stack (including GS Bank's deposit base) supports every business; one brand opens every door. The cost is shared; so is the credibility.
The limits — by law TRANSCRIPT	One GS stops at information barriers : research cannot be influenced by banking (compliance chaperones between them); Ahmed's secondaries desk sits behind a wall from direct investing.

	One firm in <i>coordination</i> , never one firm in <i>information</i> . Knowing both halves is what separates real understanding from a slogan.
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A4. "My friend says asset management loses money and is funded by the banking division" — the verdict

The claim, as stated, is false. But your friend is mis-remembering three real things, and untangling them teaches you more than the slogan version of One GS ever could.

The kernel of truth	What actually happened
1. The consumer business genuinely lost money — but that wasn't asset management.	Goldman's consumer experiment (Marcus, credit-card partnerships, reported under "Platform Solutions") lost billions of dollars pre-tax over several years before the firm retreated and wound it down. CORROBORATED If a division "lost money and was carried by the rest of the firm," it was this one — and it has been largely shut. Your friend has likely fused "Platform Solutions lost money" with "AWM".
2. AWM's profit <i>margin</i> has been lower than GBM's — low is not negative.	AWM earns real profits, but historically fewer pence of profit per pound of revenue than the markets business — which is exactly why management set a public pre-tax margin target of ~30% for the segment and reports progress against it. You don't set an improvement target for a business you're subsidising to oblivion; you set one for a business you're scaling. OFFICIAL — GS investor materials
3. Legacy balance-sheet losses dragged AWM's results in bad years.	In years like 2022, losses on the firm's own <i>on-balance-sheet</i> investments (the historical principal investments Ahmed described) crushed AWM's reported earnings — the segment carried the old merchant-bank baggage. That is precisely what the pivot to client capital is eliminating: sell the legacy positions, keep the fees. CORROBORATED + TRANSCRIPT

The true financial picture today: AWM produced roughly \$16–17bn of revenue in 2025 with annual management fees alone surpassing **\$10bn** (a stated milestone), durable revenues compounding at a **12% CAGR since 2021**, record quarterly management fees of **\$3.1bn** in Q4 2025, and a record **\$3.6tn** of supervised assets. **OFFICIAL** That is not a loss-making ward of the trading floor; it is the firm's stated growth engine, mid-transformation. **Where the divisions genuinely do support each other:** shared funding (deposits), shared infrastructure costs, and referrals — support, not subsidy. The distinction matters, and being able to make it precisely is an interview-winning moment if this myth ever comes up.

A5. The results — is One GS actually working?

- **Cross-sell you can name:** the OCIO roster — BAE, UPS, Shell, Eli Lilly, Verizon, Lockheed Martin — is a list of exactly the corporates a top investment bank has served for decades; the banking-era trust is the bridge the mandates walked across. **INFERRED mechanism, OFFICIAL mandates**
- **Durable fees compounding:** the 12% CAGR since 2021 and the \$10bn+ fee milestone are the strategy's own scoreboard. **OFFICIAL**
- **Record firm results:** FY2025 net revenues \$58.3bn, earnings \$17.2bn, AUS \$3.6tn — delivered by the reorganised structure. **OFFICIAL**
- **Honest caveat:** attributing the share-price re-rating specifically to One GS is **INFERRED** at best — markets rose too. Say "the strategy's metrics are moving the right way," not "One GS caused the stock to double."

A6. What Goldman fundamentally has that J.P. Morgan doesn't

JPM is the closest structural rival — another bank-integrated asset manager, bigger in raw AM assets (\$4.1tn vs \$3.6tn). So the difference is not scale. It is three structural facts:

Goldman has...	The substance	JPM's counter-advantage (be fair)
1. Pure institutional focus	Post-Marcus, effectively 100% of Goldman serves one client universe: institutions, corporates and the wealthy. JPM spans Chase's ~80 million consumer accounts to custody to payments.	Diversification: JPM's consumer deposits are a vast, cheap funding machine and an

	Consequence: "one firm" is <i>coherent</i> at Goldman — every division's client could plausibly be every other division's client. A consumer bank cannot cross-sell a checking-account customer an OCIO mandate; the client graphs barely overlap. One GS works because the firm is small and focused enough for it to be real. INFERRED from structures	earnings stabiliser Goldman cannot match.
2. The advisory crown: #1 in M&A for 23 consecutive years	2025: \$1.48tn of announced deals advised, ~32% market share, on 38 of the 68 mega-deals over \$10bn; advisory fees \$4.6bn vs JPM's \$3.1bn. CORROBORATED — league table coverage, Jan 2026 Why it matters beyond banking: M&A advice is the purest trust product in finance — no balance sheet forces the client's hand; boards choose the adviser they trust most, and they have chosen Goldman first for 23 straight years. That board-level trust is the top of the funnel One GS feeds everything else from.	JPM leads in many financing league tables and total corporate/investment-bank revenue; its lending capacity wins deals Goldman's model won't chase.
3. The partnership talent engine	~400 elected partners inside a public company — a selective, biennial prize preserved since the 1999 IPO — plus sub-1% intern selectivity. The mechanism: a summit worth a career creates retention and a shared-fate culture that ordinary corporate ladders don't. CORROBORATED structure; effect INFERRED	JPM's scale offers more internal career lanes and, arguably, more stability.

A7. What One GS means for you as an intern

- **Your interview story is allowed to cross divisions.** A spring week in FICC & Equities feeding an AM application is not a contradiction at a One-GS firm — it is the model working. Frame it that way.
- **The "conductor" seats are One GS jobs.** CSG exists *because* of this strategy; when you explain the role, you are explaining the strategy, and almost no other candidate will connect the two.
- **Networks compound across the firm.** The intern next to you in Operations may be your execution contact in five years (Shash's point). At a siloed firm that's a nicety; at a One-GS firm it's the operating model. **TRANSCRIPT**
- **Mobility is real but earned:** internal moves across the platform (Jessica's five or six jobs; Jack's desk changes; Ahmed's banking-to-investing switch) are a documented pattern of the culture. **TRANSCRIPT**

PART B — The Outsourced CIO model, from absolute zero

B1. The assumptions you need first (60 seconds of background)

1. **What a pension scheme is:** a company (say BAE) promised its workers a set income in retirement. Money was set aside over decades into a fund — often tens of billions — legally separate from the company, watched over by **trustees** (a board legally responsible for making sure pensions get paid).
2. **The problem the trustees own:** that fund must be invested for 50+ years so it can pay every pension. Invest badly and the company must top it up — or worse.
3. **A "CIO":** Chief Investment Officer — the person (and team) who decides how the money is invested: how much in shares, bonds, property; which fund managers to hire; how to protect against interest-rate moves.

B2. The three ways to run a pension fund

Model	How it works	Pros	Cons
In-house	The scheme employs its own CIO and investment team.	Full control; deep knowledge of the scheme.	Expensive; hard to hire top investors into a pension office; struggles with modern complexity (private markets, hedging).
Consultant-advised	Trustees keep decisions but pay a consultant (Mercer-type) for advice; hire external	Cheaper; expert input.	Slow — every move needs a trustee meeting; accountability

	managers piecemeal.		blurred between adviser and decider.
OCIO (outsourced CIO)	Trustees set the objectives and risk limits, then delegate the entire investment function — strategy, manager hiring/firing, hedging, daily decisions — to a firm like Goldman. Sometimes the in-house team transfers to that firm.	One accountable expert partner; institutional-grade tools; speed; access to private markets.	Dependence on one provider; fees; brutal to switch (see B6).

So **"outsourcing" here means:** the pension fund stops *doing* investing and starts *governing* it — exactly as a company might stop running its own data centres and hire a cloud provider, keeping control of *what* it wants while delegating *how*.

B3. A walk-through: how a real outsourcing happens

1 The trigger

Years of higher interest rates shrink the value of the pension promises (paying £100 in 2050 costs less today when rates are 5% than when they're 1%). Suddenly the scheme is fully funded — it has enough. The mission changes from "grow the money" to "don't lose what we have, and match it to the payments due."

2 The realisation

Protecting a surplus needs specialist hedging (LDI: assets built to move in line with the promises), private-market income, 24/7 risk monitoring. The in-house team of 12 can't staff all that — and after the 2022 UK gilt crisis (when forced fire-sales nearly broke several schemes), trustees are painfully aware of what operational gaps cost.

3 The search

Trustees run a formal selection: RFPs to several OCIO providers, consultant evaluation, finals presentations. The questions: capability across everything, operational strength, what happens to our people, fees.

4 The handover

Goldman wins. Contracts define objectives, risk limits, reporting. Assets transition over months without disturbing markets; often the scheme's own investment staff transfer into Goldman and keep serving the scheme from inside (BAE 2023, UPS 2024). Trustees keep the steering wheel; Goldman becomes the engine.

5 The forever-after

Quarterly reviews, live dashboards, annual strategy resets. Fees accrue daily on the whole pot. The relationship is now the product — and keeping it is the job of the client team.

B4. Why the model is booming right now CORROBORATED

- **Funded status at generational highs** (higher rates) — more schemes at the "protect, don't chase" stage where outsourcing is rational.
- **Complexity outran in-house teams** — the target portfolio now includes private credit, private equity, sophisticated hedging.
- **Companies want the problem off their desk** — "no longer worth the cost and complexity" (Institutional Investor's summary).
- **Scale of the shift:** the OCIO sector is projected to reach **\$4.2 trillion by 2028**; Goldman leads with **\$480bn** (31 Mar 2026), #1 in the US.

B5. The economics, honestly INFERRED where noted

- Fees are thin per pound (single-digit-to-low-tens of basis points — never disclosed INFERRED) but charged on enormous, extremely sticky pools: thin × huge × decades = one of the best revenue streams in finance.
- Inside every OCIO portfolio sits a private-markets allocation that can (under strict conflict rules, open-architecture) partly connect to Goldman's \$627bn alternatives platform — one mandate feeding the other engine.
- Switching an OCIO means re-papering an entire investment programme — the stickiest client bond in asset management.

B6. The honest counter-case

Not everyone outsources: Delta, IBM and Exelon have pulled pensions *back* in-house, and a \$24bn corporate CIO argues plans over \$5bn should stay internal. ANECDOTAL — Institutional Investor Meaning: the model must keep proving itself, mandates can leave, and retention is the economic core — which is precisely why the client team is a career function, not a sales desk.

B7. Why OCIO is the ultimate One-GS product — the two halves of this report joined

Look at what one OCIO mandate consumes: public-markets investing + private markets + liability hedging + external manager research + execution + risk infrastructure + client governance. **No single team owns all of that; only the coordinated firm does.** An OCIO win is One Goldman Sachs made contractual — the strategy isn't a slogan on these mandates, it's the delivery mechanism. And the group that wins and keeps them — Client Solutions — is where the philosophy, the economics and your application meet. If you can explain *that* chain in an interview, you understand the firm better than most people who work there.

Sources. One GS definition and history: Goldman's published firm history. Segment structure, FY2025/Q4 2025 figures, AWM margin target (~30%), \$10bn+ management fees, 12% durable-revenue CAGR, \$3.6tn AUS: GS earnings materials and annual-report coverage OFFICIAL. Platform Solutions/consumer losses and wind-down: widely reported 2022–24 CORROBORATED. M&A league data (23 straight years #1, \$1.48tn, 32% share, \$4.6bn fees): 2025 league-table coverage (European Business Magazine, Finimize, Yahoo Finance/CT Acquisitions) CORROBORATED. OCIO mandates and \$480bn: GSAM press releases OFFICIAL; \$4.2tn-by-2028 and re-internalisation counter-case: Institutional Investor. Panel material: your event transcript. Unverified: exact AWM FY2025 pre-tax earnings figure (check the 10-K); exact Platform Solutions cumulative losses; OCIO fee rates. Re-verify all numbers before quoting aloud.